

Policy-Making Cycle and Policy-Relevant Analysis

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Note

1. The 29-Day Policy Cycle: From Event-Based to Continuous Learning

The Prudent Risk Management Approach to Price Stability also known as FPAS Mark II, represents a shift toward recognizing uncertainty as the natural state of the world. Forecasting is no longer an act of prediction but an act of disciplined learning under uncertainty. This perspective shapes the 29-day policy cycle and the new concept of policy relevant analysis.

FPAS Mark II replaces event-driven policy routines with a structured 29-day cycle that integrates analysis, judgment, and communication. Each stage of the cycle has clearly assigned responsibilities:

- **T-29: Kick-Off** :A concise staff briefing introduces the Board to the current economic drivers and key uncertainties. This is followed by an open and robust discussion among Board members about the major concerns and risks shaping the upcoming policy round.
- **Next 2 Weeks: Initial Risk Assessments**: Each Board member prepares a one-page narrative outlining the risks, uncertainties, and issues they believe must be managed during the current policymaking round. These submissions form the foundation for the taxonomy of scenarios.
- **T-15: Scenarios Meeting**: Board members present their Initial Risk Assessments, which are consolidated into the overall Taxonomy of Scenarios. Staff then present the illustrative Case A and Case B scenario narratives that will be quantitatively modeled for the round.
- **T: Decision Day**: Staff deliver the final presentation on current and underlying economic conditions. This sets the stage for Board deliberations and, ultimately, the policy decision.

As the FPAS Mark II manual emphasizes, regularity builds credibility while dynamism sustains learning. The cycle forms a continuous loop in which each round informs the next.

Kick-Off Meeting (T-29)

The round begins with a Kick-Off Meeting where staff deliver a concise briefing on key economic drivers, underlying trends, and major sources of uncertainty. This is followed by an open, wide-ranging discussion among Board members on the risks and issues they believe warrant attention — such as global financial vulnerabilities, domestic demand pressures, or the possibility of drifting toward high- or low-inflation traps.

The goal is not to review data mechanically but to surface the deeper concerns shaping each member’s thinking. From the staff’s perspective, the Kick-Off Meeting consolidates analysis and discussion from weekly briefings leading up to the round. In extraordinary circumstances, the meeting may also be used to recalibrate the work plan for the round.

Developing Scenario Narratives (Next 10 Days)

Following the Kick-Off Meeting, Board members begin developing the core ideas that will feed into the Case A and Case B scenarios. Case A reflects situations requiring a policy rate path above market expectations, while Case B reflects circumstances requiring a lower path. Board members are not asked to construct full scenarios; instead, they outline the essential narratives, shocks, and assumptions they believe should guide scenario development.

These ideas are set out in their **Initial Macroeconomic Risk Assessments**, or “one-pagers.” Each one-pager provides a narrative on the Board member’s key risks and uncertainties, subject to the **3R Principle**: scenarios must be *Related* to current conditions, *Realistic* enough to merit consideration, and *Relevant* for monetary policy.

Importantly, these documents are not binding. Board members are encouraged to revise their thinking as the round unfolds — this flexibility is an intentional feature of FPAS Mark II.

Process for Preparing One-Pagers (T-29 to T-18)

Board members work with two assigned staff members (“Board Coordinators”) who support them throughout the process:

1. **Initial Brainstorming Session (1 hour):** Board members share preliminary bullet points on their key risks. Coordinators facilitate discussion, ensure alignment with

the 3R criteria, ask clarifying questions, and reference insights from the Kick-Off Meeting and analytical briefings.

2. **Drafting the One-Pager (2–4 hours):** Coordinators prepare the first draft based on the brainstorming session.
3. **Iterations (1–2 hours):** The Board member and coordinators refine the draft over email during the second week.
4. **Submission (T-18 at 13:00):** Once satisfied, the Board member submits the final one-pager to the Head of the MPD for the official record. The Head of MPD does not approve or alter content. These documents are disclosed publicly with a 12-year lag under the CBA's transparency strategy.

The full set of one-pagers forms a key input into the **Taxonomy of Scenarios in the Monetary Policy Report**.

Scenarios Meeting (T-15)

Roughly two weeks before Decision Day, the Board meets with the Policy Round Coordinator to review and approve two elements:

- The **Taxonomy of Scenarios**, summarizing all risks and narratives submitted by Board members.
- The proposed illustrative **Case A and Case B** scenario narratives to be developed and quantified.

The Board's role is to provide direction and ensure the taxonomy captures their concerns, not to specify technical assumptions. By the end of the meeting, Board members should have a clear mental picture of how scenarios will be built and how they will feed into the Monetary Policy Report.

Scenario-Building Phase

Following the Scenarios Meeting, the Policy Round Coordinator leads daily production meetings with staff. Together, they build out:

- the **market reference scenario**,
- the **illustrative Case A scenario**, and
- the **illustrative Case B scenario**.

These are quantified using the semi-structural quarterly projection model and satellite models where appropriate. Particular emphasis is placed on the policy implications —

specifically, the interest-rate paths required to ensure convergence toward the inflation target.

The illustrative scenarios are not prescriptive. They do not constrain Board members' views or votes. Rather, they provide clear reference points for evaluating risks, identifying potential dark-corner outcomes, and structuring the narrative of the Monetary Policy Report.

Submission of Final Scenarios (T-3)

Three days before Decision Day, the Policy Round Coordinator submits the final Case A and Case B scenario narratives and their quantitative projections to the Board, along with the completed draft of the Monetary Policy Report. No further changes are made after submission.

Decision Day (T)

With the scenarios finalized and 28 days of discussion behind them, the Board convenes to make the policy decision. Staff present current and underlying economic conditions, along with the scenario implications. Board members then deliberate and vote.

Each Board member submits a brief explanation outlining:

- the policy action they support,
- the risks and assumptions driving their view, and
- their willingness to change course if new information emerges.

The decision is announced together with publication of the Monetary Policy Report, which explains the policy stance through a structured narrative grounded in the scenario framework. The Governor then holds a press conference, broadcast live to the public.

2. Avoiding the “Folly in Baselines”

Traditional FPAS Mark I frameworks relied heavily on deterministic baselines. However, this approach risked institutionalizing error by encouraging overconfidence in a single projection. FPAS Mark II warns against this “folly in baselines,” observing that a central bank must operate under multiple plausible futures.

FPAS Mark II embeds uncertainty directly into analysis by requiring multiple scenarios. Each scenario represents a different possible reality shaped by alternative assumptions about shocks, transmission channels, and expectations. Policy must be evaluated not by

whether the baseline materializes, but by how prudently the central bank manages the distribution of risks around it.

This captures the core of the least-regrets mindset: the objective is not precision but prudent risk management.

3. Policy-Relevant Analysis: Bridging Models and Judgment

Under FPAS Mark II, staff focus on producing policy-relevant analysis instead of perfect forecasts. Policy-relevant analysis is defined as translating analytical results into information that helps the Board understand risks and make decisions under uncertainty.

Good analysis:

1. Integrates model outputs and expert judgment into coherent narratives.
2. Quantifies uncertainty via scenario matrices.
3. Provides communication materials that clarify risks, trade-offs, and credibility issues.

Analysis is designed not to predict what the Bank expects, but to reveal what it fears and what it hopes for.

4. The Role of Staff–Board Interaction

The 29-day cycle intensifies collaboration between staff and Board. Staff no longer defend a single baseline; instead, they facilitate structured analytical dialogue. The Board becomes decision-makers under uncertainty, applying least-regrets reasoning to evaluate risks.

As the manual states: “Staff exist not to convince the Board, but to prepare the Board for disciplined disagreement.” Constructive tension is expected and encouraged, as it sharpens the collective understanding of risks.

The Executive Briefing at the end of the cycle embodies this partnership - it is not a forecast but a framework to support decision-making under uncertainty.

5. Continuous Learning and Institutional Credibility

FPAS Mark II transforms the central bank into a learning institution. Each cycle ends with a structured review of forecast errors, communication performance, and structural shifts. These lessons shape the next round. The central bank continually updates its models, judgment, and communication practices.

Credibility emerges not from avoiding mistakes but from demonstrating the capacity to learn from them quickly. Human capital development is embedded in the policy process itself.

6. Policy Implications and Concluding Reflections

The transition to the 29-day cycle and policy-relevant analysis has several implications:

- Predictability and Rhythm: The cycle creates discipline and enhances credibility.
- Transparency and Accountability: Transparency about risks and how the central bank manages them form credibility.
- Resilience: Continuous learning enables flexible responses to shocks.
- Human Capital: Staff development is part of the policy system, not an external function.
- Prudent Risk Management: Decisions weigh risks across multiple futures.

As summarized in FPAS Mark II: “The future cannot be forecast, but it can be managed. The discipline of the policy cycle and the humility of least-regrets thinking make credibility sustainable.”

Literature & Further Reading

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Script

Hello everyone, I’m **Susanna Grigoryan** from the **Central Bank of Armenia and a Level One student at the Global Forecasting School**. Welcome back to the CBA Academy Learning Hub. In this session, we will walk through how the 29-day policy cycle works under FPAS Mark II, and how it transforms analysis, judgment, and institutional learning.

FPAS Mark II starts from the recognition that uncertainty is the norm, not the exception. Forecasting is no longer about predicting a single path for inflation or output. It is a disciplined process of learning under uncertainty. This philosophy shapes the structure of the 29-day cycle, where analysis, scenario building, judgment, and communication are tightly integrated.

The cycle begins with a concise staff briefing on day T–29. This Kick-Off Meeting presents the main economic drivers, recent developments, and the key uncertainties shaping the environment. The briefing is followed by an open discussion among Board members about the major risks they see ahead. The purpose is not to dwell on the latest data release but to surface the deeper concerns, tail risks, and vulnerabilities that will frame the entire round.

Over the next two weeks, each Board member develops a one-page narrative—an Initial Macroeconomic Risk Assessment—outlining the risks, uncertainties, and issues they believe must be managed in the current round. These one-pagers reflect the 3R principle: scenarios must be related to current conditions, realistic enough to merit consideration, and relevant for monetary policy. They are not binding documents. Board members are encouraged to revise their thinking as the round unfolds. This flexibility is a deliberate feature of FPAS Mark II.

To support this process, each Board member works with two staff coordinators. They hold an initial brainstorming session where Board members outline their preliminary thoughts. Coordinators help structure these ideas, ensure they align with the Three-R criteria, and connect them to insights from the Kick-Off Meeting and weekly analytical briefings. The coordinators then prepare a first draft of the one-pager, and over the following days the

draft is refined through short iterations. By T-18, the final version is submitted to the Head of the Monetary Policy Department for the official record. These documents later feed directly into the taxonomy of scenarios.

Roughly two weeks before the policy decision, the Board meets for the Scenarios Meeting. The Policy Round Coordinator presents the consolidated taxonomy of scenarios, which reflects all the risk assessments submitted by Board members. The coordinator also presents the proposed narratives for the illustrative Case A and Case B scenarios that will be quantified for the round. Board members are not responsible for technical assumptions. Their task is to confirm that the taxonomy captures the risks that matter most to them. By the end of the meeting, everyone has a clear understanding of how the scenarios will be developed and how they will shape the Monetary Policy Report.

From that point on, the scenario-building phase begins in earnest. The Policy Round Coordinator leads daily production meetings with staff. Together they construct the market-reference scenario, the Case A scenario, and the Case B scenario. These are quantified using the quarterly projection model and satellite models where appropriate. The focus is on the policy implications of each scenario, especially the interest-rate paths needed to return inflation to target. These illustrative scenarios are not intended to constrain Board members. They are reference points that help evaluate risks, identify potential dark-corner outcomes, and structure the narrative that will later appear in the Monetary Policy Report.

Three days before the policy decision, the Policy Round Coordinator submits the final Case A and Case B narratives, along with their quantitative projections, to the Board together with the full draft of the Monetary Policy Report. No further changes are made after this point.

Decision Day brings together four weeks of analysis, debate, and scenario work. Staff present the current and underlying economic conditions and explain how the different scenarios map onto the risks facing the economy. Board members then deliberate on the appropriate policy stance. Each Board member submits a concise explanation of their vote, detailing the action they support, the risks and assumptions that shape their view, and their willingness to adjust their position if new information emerges. The decision is announced together with the publication of the Monetary Policy Report, which explains the policy stance through a clear narrative grounded in the scenario framework. The Governor then holds a press conference, live-streamed to the public.

FPAS Mark II deliberately avoids the old “folly in baselines.” Earlier frameworks relied heavily on a deterministic baseline forecast, which encouraged excessive confidence in

a single view of the world. FPAS Mark II replaces that mindset with structured scenario analysis. Each scenario represents a different plausible reality shaped by alternative shocks, transmission channels, and expectations. The aim is not precision, but prudent risk management. What matters is not whether the baseline materializes, but how effectively the central bank manages the distribution of risks across possible futures.

Under this framework, staff focus on policy-relevant analysis rather than on perfect projections. Policy-relevant analysis integrates model outputs and economic judgment into coherent narratives, quantifies uncertainty, and presents the risks and trade-offs in a way that helps the Board deliberate under uncertainty. It is not about predicting what the Bank expects, but about illuminating what it fears and what it hopes to avoid.

The 29-day cycle also deepens collaboration between staff and the Board. Staff no longer defend a single baseline; they facilitate structured analytical dialogue. The Board becomes a decision-making body that weighs risks using the least-regrets principle. Constructive tension is expected and even desirable, because it sharpens the institution's understanding of risks. The Executive Briefing at the end of the cycle captures this partnership: it is not a forecast but a framework to support disciplined decision-making.

FPAS Mark II turns the central bank into a learning institution. Each cycle ends with a structured review of forecast performance, communication outcomes, and shifts in economic relationships. These lessons feed directly into the next round. Credibility grows not because the central bank avoids mistakes, but because it learns from them quickly and openly. Human capital development is not an external goal — it is built into the cycle itself.

The move to the 29-day cycle and policy-relevant analysis has important implications. It creates a predictable rhythm that strengthens credibility. It separates analysis from judgment, improving transparency and accountability. It supports resilience by allowing the institution to adjust quickly to shocks. And it embeds prudent risk management in every stage of policymaking.

FPAS Mark II reminds us that the future cannot be forecast, but it can be managed. The discipline of the policy cycle and the humility of least-regrets thinking make credibility sustainable.

Thank you for watching, and I would like to acknowledge Douglas Laxton, Jared Laxton, Asya Kostanyan, and Sopio Mkervolidze at the Global Forecasting School for their guidance and support in producing this video.

See you in the next video!